

Fraud Typologies and Red Flags

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Compliance Guideline CMP-004 sets forth the operational definitions, identification criteria, red flag indicators, and reporting pathways for fraud typologies encountered by AEON Credit Service (M) Berhad. Covering application fraud, mule account manipulation, account takeover (ATO), first-party bust-out syndicates, and intermediary collusion, this document guides underwriting staff, fraud investigators, and branch operations in mitigating financial crime risks across personal financing, hire purchase, and credit card portfolios.

1.0 — Purpose, Scope, and Governance

This document establishes the institutional framework of AEON Credit Service (M) Berhad for identifying and mitigating fraud risks across all retail lending portfolios, including AEON Classic Visa, AEON Gold Visa, AEON Platinum Visa, Personal Financing-i (Tawarruq), Motorcycle Hire Purchase-i, Auto Hire Purchase-i, and Product (Objective) Financing. All frontline personnel, credit underwriters, customer service officers, and collection agents are mandated to detect, freeze, and report suspicious activities in strict adherence to Bank Negara Malaysia guidelines and internal risk governance standards.

2.0 — Application Fraud and Identity Theft

Application fraud involves the submission of fabricated, altered, or stolen applicant credentials to procure credit facilities deceptively. Typical red flags include tampered salary slips, forged Employees Provident Fund (EPF) statements, inconsistent employer telephone numbers, mismatched MyKad microprint data, and non-operational corporate addresses. Assessors must verify whether CTOS identity records indicate deceased individual identifiers or duplicate employer contact details shared across unrelated applicant profiles. Any application displaying manipulated income documentation to deliberately circumvent Debt Service Ratio (DSR) ceilings (60% for income below RM 3,000; 70% for RM 3,000 and above) or Net Disposable Income (NDI) floors (RM 1,500 standard; RM 2,000 for applicants supporting three or more dependants) shall be declined and escalated immediately.

3.0 — Mule Accounts and Disbursement Redirection

Money mule typologies involve recruiting vulnerable or complicit individuals who surrender control of their bank accounts or identity documents to criminal syndicates. In retail financing, red flags include third-party disbursement requests, rapid bank account detail amendments submitted immediately prior to contract execution, or salary crediting histories showing circular peer-to-peer transfers rather than authenticated corporate payroll. For Personal Financing-i disbursements ranging from RM 3,000 to RM 150,000, underwriter match validation between the primary applicant identity and the target disbursement account is mandatory; unverified third-party account nominations result in immediate suspension of facility disbursement.

4.0 — Account Takeover (ATO) and Credential Compromise

Account Takeover occurs when unauthorized third parties gain control of authentic customer profiles through credential harvesting, SIM swapping, phishing campaigns, or social engineering. Prominent indicators include sudden requests to update registered mobile numbers or mailing addresses without accompanying certified MyKad validation, followed immediately by card reissuance requests, password resets, or cash advance drawdowns on credit card products. Automated fraud monitoring systems must halt online transacting and notify the legitimate customer whenever high-velocity, off-hour transactions originate from foreign IP addresses or unregistered mobile devices.

5.0 — First-Party Fraud and Bust-Out Schemes

First-party fraud involves individuals who secure credit facilities with zero genuine intention of repayment. In 'bust-out' schemes, applicants maintain a pristine repayment history for initial tenures to secure progressive credit limit increases (up to the maximum 2x monthly income for earnings below RM 5,000 or 3x for earnings of RM 5,000 and above), followed by sudden 100% line utilisation across cash-convertible merchant categories, complete

default, and abandonment of all contact channels. In financing facilities such as Personal Financing-i or Product Financing, the total absence of the first scheduled instalment (First Payment Default) constitutes a severe primary red flag requiring immediate field visitation and debt recovery enforcement.

6.0 — Dealer, Merchant, and Point-of-Sale Collusion

Collusive fraud involves external motorcycle or automotive dealers acting in concert with applicants or rogue sales agents to exploit Hire Purchase-i financing. Major typologies include phantom vehicle financing (advancing funds against non-existent vehicle chassis numbers), artificial invoice inflation to bypass the maximum 90% margin of financing, and double-pledging the same asset across multiple financial institutions. Field inspectors must execute physical pre-disbursement verification of vehicle identification numbers (VIN), engine numbers, and registration card records with Road Transport Department (JPJ) registers prior to any capital disbursement.

7.0 — Investigation, Escalation, and Incident Management

Upon identifying suspected fraudulent behaviour, operational units must lodge a Fraud Incident Notification with the Special Investigations Unit (SIU) within four operating hours. If an incident stems from a customer dispute, customer care representatives must acknowledge receipt within two business days and resolve the investigation within fourteen calendar days. Where customers remain dissatisfied with unresolved outcomes regarding fraud liability, cases must be systematically referred to the Ombudsman for Financial Services (OFS). Where confirmed criminal activity or systemic mule ring activity is identified, SIU shall file a Suspicious Transaction Report (STR) with the Financial Intelligence and Enforcement Department of Bank Negara Malaysia and lodge an official police report.

Schedule / Reference Table

Typology Code	Fraud Classification	Target Product / Channel	Primary Red Flag Indicators	Mandatory Containment Action
FR-TYP-01	Application Fraud / Identity Theft	Personal Financing-i, AEON Cards	Altered EPF / payslip PDFs, invalid MyKad microprint, burner contact numbers	Immediate system freeze, reject application, and log profile into Internal Fraud Watchlist
FR-TYP-02	Mule Account Exploitation	Personal Financing-i (Tawarruq)	Mismatched beneficiary name on disbursement account, immediate post-draw cash sweep	Block fund release, mandate in-person branch verification with original MyKad
FR-TYP-03	Account Takeover (ATO)	AEON Classic / Gold / Platinum Visa	Rapid change of contact number followed by overseas e-commerce transactions	Apply temporary card block, invalidate digital access tokens, and issue out-of-band challenge
FR-TYP-04	First-Party Bust-Out	Credit Cards / Product Financing	Rapid maximum utilisation on liquid assets after limit hike, first-payment default	Revoke revolving credit lines, accelerate total debt balance, and initiate field recovery
FR-TYP-05	Dealer Asset Collusion	Motorcycle HP-i, Auto HP-i	Duplicate chassis/engine registration in JPJ database, unverified dealer premises	Withhold dealer financing release, conduct physical asset inspection, suspend dealer code